

PGY pitch deck

PITCH — PGY — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: No entry at \$21.46. Pagaya is a real, cash-generating business trading at a fair price after doubling off its low — the court killed the *entry*, not the company. Re-engage on a pullback to \$17.00–\$18.50 or on a clean Q3 print (see bands).

What we believe

Pagaya Technologies runs an AI credit network: banks and lenders send it loan applications, Pagaya's models approve a slice the lenders would have declined, and the loans are funded mostly by outside investors through securitizations. Pagaya earns fees on the volume. The bull framing that brought this name to court was: fees are real cash (operating cash flow of \$117.9M in the first half of 2026 against \$70.0M of net income), the business is “capital-light,” and at roughly 10.6x forward earnings the stock is cheap for a company growing volume 33%.

After both benches finished, here is what we actually believe: **the fees are real cash and the company is self-funding — cash on hand grew \$16.1M in the half to \$249.3M — but “capital-light” is false.** Regulation and market practice force Pagaya to buy a retained piece of its own securitizations; those purchases ran about \$496M gross in the half (roughly \$131M net of paydowns and sales, about 7% of loan volume), partly funded with \$253M of secured borrowing. So this is a *hybrid*: a fee network bolted to a small, growing lender balance sheet. That makes ~10.6x headline earnings (closer to 12x after dilution) a **fair** price, not a cheap one. Fair-priced quality is ownable on our framework — but not 4% below a 26-week high, up ~106% off the 52-week low, with no confirmed catalyst for roughly three months.

What the market believes

The stock is at \$21.46, down 52% from its 52-week high of \$44.99 but up ~106% from the low of \$10.40, and sitting just below its 26-week high of \$22.24. The market has already re-embraced the turnaround: the February 9, 2026 guidance cut (a –24% one-day crash) has been fully forgiven, the post-earnings gap from the July 30 print has held, and the current price implies the market broadly accepts the \$155–180M net-income guide and the growth story. In short: the market believes what the blue bench believes, and it got there first.

Why we might have edge

- **We read the whole cash-flow statement, including the part each side wanted to stop at.** We now know precisely where the bear case is real (mandatory risk-retention purchases

consume the operating cash at the company's chosen growth rate; the book is partly debt-funded) and where it is rhetoric ("negative free cash flow" — false; cash grew).

- **We have specific, checkable deterioration markers the market may be ignoring:** retained-loan losses grew 85% year over year (\$43.3M → \$80.3M in the half) while volume grew 33%, and the fee margin on volume (fee revenue less production costs) compressed from 4.8% to 4.2%. If those two lines keep bending the wrong way, the fair multiple contracts.
- **Funding-market proof is current and verifiable:** an \$800M consumer-loan securitization launched January 2026 ([company press release](#)) and \$3.7B raised across six securitizations in Q2. We know exactly what evidence would falsify the funding-freeze bear case, and it is currently falsified.

Why it might be priced in

Honestly: mostly, it is. The turnaround, the cash generation, and the open funding window are all visible in public filings and the tape reflects them — the stock doubled. Our "edge" items are watch-metrics, not variant perception: the loss growth and margin compression are disclosed in the company's own materials, and the sell side can read them too. The red bench's strongest surviving point is exactly this — at a fair multiple, with ~15–16%/yr share-count growth eating per-share economics, and the President selling a small block at \$22.00 on the post-earnings pop, there is no mispricing to harvest *at this price*. Both benches landed at 7/10 conviction on their own side, which is the signature of a fairly priced stock, not a dislocated one.

What we checked ourselves

claim	how checked	found	confirmed?
"Capital-light; operating cash flow 1.68x net income"	Full H1-2026 10-Q cash-flow statement (SEC filing ; SEC returned 403 to our fetcher, read via mirror)	\$496.0M gross purchases of retained loan/security interests; net retained-book build \$130.9M vs \$117.9M operating cash flow. Capital-light claim is false	PARTLY — cash is real, "capital-light" refuted
"Company-level free cash flow is negative — a funding treadmill" (red bench's kill)	Blue bench re-read the same statement <i>including the financing section red omitted</i>	Net financing +\$31.0M (secured borrowing +\$57.7M net); cash rose \$16.1M to \$249.3M. Our own red bench erred here — it computed "negative FCF" by stopping at the investing subtotal. Kill downgraded from fatal to a sizing concern	REFUTED (red bench error, caught by blue)
Retained losses +85% vs volume +33% = credit deterioration	10-Q year-to-date figures	Numbers exact (\$43.3M → \$80.3M). But losses lag the <i>accumulated</i> book, which grew faster than 33% — red's "2.6x volume" framing overstated it. Book-size denominator never pulled — open gap	DATA CONFIRMED; framing reduced

claim	how checked	found	confirmed?
Fee margin compression = adverse selection	Pack XBRL + company slides	Fee rate on volume 4.8% → 4.2% (fee dollars still +16%). Mix shift into point-of-sale/auto is an unrejected alternative explanation; management guides 4–5%	DATA CONFIRMED; mechanism unproven
~15%/yr share dilution	XBRL diluted counts + implied Q2-26 count (NI \$45.3M / EPS \$0.49 ≈ 92M)	64.5M → ~92M diluted in ~2 years (+16% YoY). Caveat: part is previously anti-dilutive instruments entering the count on the swing to profit; no equity raise in H1-26 financing	CONFIRMED (sizing drag)
Insider selling into the pop	Form 4 / Form 144 filings	President Sanjiv Das sold 21,289 shares at \$22.00 on 8/03 (~\$470k) — a tell, not a kill; 10b5-1 status unverified	CONFIRMED (minor)
Funding window open	Company press releases	\$800M ABS launched Jan-2026; \$3.7B across six securitizations in Q2	CONFIRMED (pro-thesis)
Guide is attributable to shareholders	10-Q	\$18.2M of distributions to noncontrolling interests found; whether the \$155–180M guide is net of these was not verified	NOT CONFIRMED
Live executable quote	IBKR	Access not granted in the court session; Yahoo pack tape (\$21.46) used	GAP

PROPOSED ENTRY BANDS

The court's answer is **no entry now** — so per doctrine these are **reopen bands**, from the benches' own math:

- **Reopen band A (price):** \$17.00–\$18.50 — the pre-earnings gap zone the blue bench named. A retrace into this band converts “chasing a doubled stock 4% off its high” into buying the same business ~15–20% cheaper, roughly 9x headline earnings. On a touch: re-run the court's two prerequisite reads (below) before any order — a new-low-style falling knife does not auto-buy.
- **Reopen condition B (fundamental, price-independent):** the Q3 print (est. **2026-11-10**, unconfirmed) shows **retained-loss growth ≤ retained-book growth** AND **fee margin on volume ≥ 4.0%**. If both hold, a starter is eligible even without the price pullback, because the two live deterioration markers would have flattened.
- **Prerequisites before ANY entry (both benches):** (1) read the capital-structure notes — warrants and convertibles were never pulled (SEC 403); (2) read the 10-Q funding-partner concentration note; (3) confirm the guide is attributable-to-shareholders net of the \$18.2M noncontrolling-interest distributions.
- **Sizing if reopened:** starter only. The benches set no explicit number; consistent with a 7/10-vs-7/10 fairly-priced hybrid, we propose **0.5% of book at first entry, max 1.5% built across the two conditions**, adds only on condition B confirming. No options structures (taxable-book premium rule).
- **Exit/abandon:** if Q3 shows retained losses still growing materially faster than the retained book AND fee margin below 4.0%, close the file — that is the red bench's kill case confirming on

schedule.

- **Catalyst dates:** Q3 2026 earnings ~**2026-11-10** (yfinance-derived, no company PR yet — treat as unconfirmed); permanent-CFO announcement (no date; third CFO in ~12 months, interim currently reassigned); ongoing ABS issuance press releases as rolling funding-health checks.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 17.0 (deck-provisional: bottom of reopen band / gap-fill; falling-knife review trigger, never auto-buy)
- filing watch: 8-K until 2027-02-09 (deck-provisional: Q3 date confirmation, permanent-CFO appointment, or any securitization/funding-program announcement or)
- dated pack PGY|2026-11-10: PGY: Q3 2026 earnings — grade retained-loss growth vs retained-book growth and fee-margin-on-volume $\geq 4.0\%$ (date confirmed=False)

What remains unverified

- **Capital structure:** warrant and convertible overhang never read (SEC 403 blocked the pull). Blocks any dilution-adjusted valuation being called final, and is an entry prerequisite.
- **Funding-partner concentration:** the 10-Q concentration note — the single biggest structural risk (a few partners supply the loan flow) — was not read by either bench.
- **Retained-book size:** the balance-sheet denominator for the loss-growth comparison was never pulled, so “losses growing faster than the book” vs. “losses lagging a fast-grown book” is unresolved.
- **Guide attributability:** whether \$155–180M net income is net of the \$18.2M paid to noncontrolling interests.
- **Q3 print date:** 2026-11-10 is derived, not company-confirmed.
- **Partner-bank credit read-through:** FDIC call-report check on partner banks’ consumer charge-offs (the independent read on Pagaya paper quality) was identified by both benches as the right check and run by neither — connector not executed this session.
- **Insider-sale context:** whether the Das sale was under a pre-set 10b5-1 plan.
- **Live tape:** IBKR was not granted during the court; all prices are from the Yahoo pack snapshot.

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